VNCB SOB Analysis

Apr 2026

Executive Summary

Recap

- VNCB SOB declined faster vs platform in Q1 vs Q4

Root Cause

- Vs platform,
  - CB ADG% was largely stable since Nov 2025, following aggressive LFF push;
  - However, growth was dragged by
    - SLS segment decline which was impacted by introduction of custom clearance fees ($0.38/order)
    - Platform pushing higher ABS items which CB has less
- Vs TTS,
  - TTS also introduced CC fees, but is impacted less due to high LFF% at 60% vs Shopee CB at 30%
  - TTS unique sellers are growing rapidly, with SOB gap declining to 0.61x in Feb 26, vs 1.23x in Oct 25

Impact to Ecosystem

- VNCB take rate is growing well, driven by mandatory fee increases;
- Seller cost of doing business between Shopee and TTS narrowed between Oct 25 to Jan 26 as TTS ads related take rate reduced while Shopee held stable
- However, there is risk of assortment gap as active SKU count growing rapidly on TTS but not on Shopee

SOB Improvement Plan

- SOB is projected to remain stable til June 2026 as TTS normalize from Tet spike and Shopee continues to push LFF aggressive to match TTS
- With additional $6.5m budget, VNCB can grow SOB from 0.56x to 0.7x by end of Q2
- Next steps:
  - VNCB to work on detailed budget expenditure plan for VN management buy-in

Recap: VNCB SOB falling faster vs platform since beginning of Q4'25

CNCB ADG: VN underperforming at -0.15x vs. platform

ADG SOB vs TTS	VN		
	Platform	CB	MoM CB vs. Plt
Oct'25	1.20 x	0.77 x	-
Nov'25	1.10 x	0.68 x	0.01 x
Dec'25	1.06 x	0.66 x	0.02 x
Jan'26	1.00 x	0.68 x	0.08 x
Feb'26	1.04 x	0.52 x	-0.19 x
Mar'26 (Projected)	1.13 x	0.56 x	-0.06 x
Q4'25 (Dec vs Oct)	-0.13 x	-0.11 x	0.02 x
Q1'26 (Feb vs Jan)	0.04 x	-0.16 x	-0.19 x

CNCB ADO: VN underperforming at -0.36x vs. platform

ADO SOB vs TTS	VN		
	Platform	CB	MoM CB vs. Plt
Oct'25	0.80 x	0.69 x	-
Nov'25	0.75 x	0.55 x	-0.10 x
Dec'25	0.72 x	0.49 x	-0.02 x
Jan'26	1.00 x	0.58 x	-0.19 x
Feb'26	1.02 x	0.47 x	-0.14 x
Mar'26	0.95 x	0.48 x	0.09 x
Q4'25 (Dec vs Oct)	-0.08 x	-0.20 x	-0.13 x
Q1'26 (Mar vs Jan)	0.02 x	-0.12 x	-0.14 x

Highlights

1. VNCB SOB slightly outperformed platform throughout Q4, but declined steeply in Q1

Key Questions

1. Why is VNCB SOB declining faster vs platform?
2. What is the impact to the ecosystem?
3. What do we do about it?

Key Topics

1. **Root Cause**
2. **Impact to Ecosystem**
3. **SOB Improvement Plan & Recommendation**

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Vs Platform: VNCB ADG% largely stable since Nov 25; growth is dragged by 1) SLS custom clearance fees, 2) platform push towards high ABS items

VNCB key metrics vs VN platform (L6M)

Key Metrics	Breakdown	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26	Mar vs Oct
ADG% to Plt	VN Platform	100%	100%	100%	100%	100%	100%	/
	VNCB Total	1 4.9%	4.5%	4.5%	4.7%	4.8%	1 4.5%	-0.3%
	...SLS	3.9%	3.5%	3.4%	3.4%	3.1%	3.1%	-0.8%
	...LFF	0.9%	1.0%	1.1%	1.3%	1.6%	1.4%	0.5%
ABS	VN Platform	$7.8	$8.1	$8.2	$8.3	$8.6	$8.7	11%
	VNCB Total	$4.2	$5.2	$5.1	$5.0	$5.1	$5.3	1 26%
	...SLS	$4.0	$5.5	$5.6	$5.8	$5.7	$5.9	46%
	...LFF	$5.2	$4.3	$3.9	$3.7	$4.2	$4.4	-15%
CIR%	VN Platform	-21.3%	-21.5%	-23.4%	-23.6%	-21.0%	-24.0%	2 -2.7%
	VNCB Total	-21.2%	-18.6%	-20.9%	-21.1%	-19.7%	-20.5%	0.7%
	...SLS	-20.8%	-17.0%	-18.4%	-18.6%	-17.4%	-19.2%	1.7%
	...LFF	-22.6%	-24.2%	-28.4%	-27.7%	-23.5%	-26.1%	-3.5%

Mid Oct: Introduction of CC fees ($0.38/order)

Highlights

1. CB ADG penetration vs platform **relatively stable** vs Nov, after the initial dip of 0.4pp due to customer clearance (CC) fees introduction
   - Introduction of CC fees pushed CB SLS ABS **up by ~46%**
2. Platform CIR increased over the L6M, while CB **trended down by 0.7pp**
   - Platform spend shifting towards higher ABS items
   - Increase of platform FSV minimum spend impacting CB from Nov 25 onwards

Vs TTS: TTS less impacted by custom clearance fees due to larger LFF penetration…

Shopee VNCB vs TTS VNCB (L6M)

	Metrics	Breakdown	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26 (P)
TTS	ADG	CB to Platform	7.6%	7.2%	7.2%	6.9%	9.5%	9.3%
		LFF% to CB	51.5%	1 54.3%	58.4%	57.7%	64.0%	60.8%
	ABS	CB	$3.5	$3.8	$3.7	$4.3	$4.5	$4.6
		LFF	$3.8	$4.0	$3.7	Pending CI	Pending CI	Pending CI
Shopee	ADG	CB to Platform	4.9%	4.5%	4.5%	4.7%	4.8%	4.5%
		LFF% to CB	19.4%	1 21.5%	25.0%	27.5%	2 34.5%	31.4%
	ABS	CB	$4.2	$5.2	$5.1	$5.0	$5.1	$5.3
		LFF	$5.2	$4.3	$3.9	$3.7	$4.2	$4.4

Highlights

1. TTS CB LFF penetration is at **50-60%** while Shopee CB is **20-30%**; TTS prices did not **see increase as much as Shopee** when CC fees were introduced to both platforms
   - TTS ABS grew ~9%
   - Shopee ABS grew ~ 24%
2. Shopee has been aggressively growing LFF segment since Oct, almost doubling LFF penetration by Feb 26 and aims to catch up to TTS by Jun 2026

Vs TTS: …and TTS unique sellers growing quickly, SOB gap declining by -0.62x from Oct 25

SHP/TT CB SOB by Seller Segment

CB Seller Breakdown[1]	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Feb vs Oct
On Shopee/TTS Only	**1.23x**	**1.01x**	**0.87x**	**0.93x**	**0.61x**	1 **-0.62x**
...SLS	2.69x	2.06x	2.07x	2.14x	1.92x	-0.77x
...LFF	1.48x	1.40x	1.16x	1.22x	0.91x	-0.57x
On both Shopee/TTS	**0.39x**	**0.49x**	**0.50x**	**0.56x**	**0.44x**	**0.04x**
...SLS	0.50x	0.67x	0.86x	1.03x	1.02x	0.52x
...LFF	0.36x	0.46x	0.45x	0.51x	0.39x	0.03x

1: Shopee CB seller total here includes all CB seller BUs such as KRJP CB, SIP etc, but trend is largely influenced by CNCB; March data not yet available

Highlights

1. Since Oct 25, size of TTS unique selling has grown rapidly vs Shopee unique sellers, while SOB of sellers existing on both platforms remain relatively stable
2. VNCB is aware of this and working on seller acquisition of TTS unique sellers:
   - VNCB had sorted out 52 3PF TTS unique sellers in Nov'25 and successfully onboarded 22 sellers via 3PF, creating $19K incremental ADG.
   - Forward looking, VNCB will grow business, including TTS unique seller acquisitions with focus on ELHA and Lifestyle (strength-based clusters), together with calibrated expectations on FMCG and Fashion (defence-based clusters)

Key Topics

1. Root Cause
2. Impact to Ecosystem
3. SOB Improvement Plan & Recommendation

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Take Rate: CB take rate is growing healthily, driven by mandatory increases such as compulsory ads and commission fee

VNCB platform take rate breakdown (L6M)

Platform	Metric	Actuals					Projected	Mar vs Oct
		Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	
CNCB	**Take Rate %**	**20.6%**	**20.1%**	**20.5%**	**21.5%**	**22.5%**	**24.2%**	1 **3.6pp**
	Base Commission Revenue	8.6%	8.3%	8.0%	8.7%	8.5%	9.6%	1.0pp
	Platform Support Revenue	1.8%	1.5%	1.5%	1.6%	1.5%	1.4%	-0.4pp
	Extra Commission Revenue	1.3%	1.3%	1.4%	1.9%	2.0%	2.0%	0.7pp
	Net Paid Ads	5.0%	5.1%	5.6%	5.4%	6.9%	7.2%	2.2pp
	Marketing*	0.5%	0.6%	0.6%	0.2%	0.2%	0.1%	-0.4pp
	*Handling Fee	3.6%	3.6%	3.7%	3.7%	3.5%	3.8%	0.2pp
CNCB SLS	**Take Rate %**	**19.4%**	**18.9%**	**19.3%**	**20.4%**	**20.6%**	**22.5%**	**3.1pp**
	Base Commission Revenue	9.1%	9.0%	9.1%	9.9%	9.2%	10.1%	1.0pp
	Platform Support Revenue	1.9%	1.4%	1.4%	1.3%	1.3%	1.3%	-0.6pp
	Extra Commission Revenue	1.2%	1.2%	1.3%	1.8%	1.7%	1.8%	0.6pp
	Net Paid Ads	3.6%	3.7%	4.0%	3.6%	5.0%	5.6%	2.0pp
	Marketing*	0.1%	0.1%	0.1%	0.0%	0.0%	0.0%	-0.1pp
	*Handling Fee	3.5%	3.5%	3.6%	3.6%	3.3%	3.6%	0.1pp
CNCB LFF	**Take Rate %**	**25.6%**	**24.9%**	**24.1%**	**25.1%**	**25.9%**	**28.1%**	**2.5pp**
	Base Commission Revenue	6.8%	5.8%	4.6%	5.7%	7.0%	8.4%	1.6pp
	Platform Support Revenue	1.5%	1.9%	2.1%	2.2%	1.9%	1.8%	0.3pp
	Extra Commission Revenue	1.5%	1.5%	1.7%	2.4%	2.4%	2.5%	1.0pp
	Net Paid Ads	10.8%	10.5%	10.7%	10.3%	10.5%	10.9%	0.1pp
	Marketing*	1.0%	1.1%	0.9%	0.2%	0.2%	0.3%	-0.7pp
	*Handling Fee	4.0%	4.1%	4.2%	4.2%	3.9%	4.1%	0.1pp
Benchmark VN Platform	**Take Rate %**	**16.5%**	**16.7%**	**17.1%**	**18.7%**	**16.9%**	**18.2%**	1 **1.7pp**

Highlights

1. CB take rate is **~24.2%** for Mar 2026, **growing 3.6pp** vs Oct, driven by Mandatory Ads and commission fee increases;
2. CB take rate is higher and growing faster vs platform

Vs TTS, SLS cost of doing business gap narrowed 3pp between Oct 25 and Jan 26 as TTS take rate reduced while Shopee grew

SHP/TTS VN CNCB SLS Cost of doing business comparison *(before Compulsory Ads Implementation)*

Metrics	Metrics Breakdown	Oct 2025			Jan 2026			Jan 26 vs Oct 25
		Shopee VNCB	TTS VNCB	SHP vs TTS	Shopee VNCB	TTS VNCB	SHP vs TTS	SHP vs TTS
Marketplace Charge	**(+) Commission**	**12.3%**	**7.2%**	**5.1%**	**13.2%**	**10.2%**	**3.0%**	**2.1%**
	... Mandatory Commission	11.0%	6.6%	4.4%	11.4%	10.2%	1.2%	3.2%
	... Optional Commission	1.2%	0.7%	0.5%	1.8%	/	1.80%	-1.3%
	(+) Handling Fee	**3.5%**	**3.3%**	**0.2%**	**3.6%**	**3.3%**	**0.3%**	**-0.1%**
	Total non-Ads Takerate%	**15.8%**	**10.5%**	**5.3%**	**16.8%**	**13.5%**	**3.3%**	**2.0%**
	(+) Ads	**3.6%**	**15.6%**	**-12.0%**	**3.6%**	**11.9%**	**-8.3%**	2 **-3.7%**
	... Seller Acct Paid Ads	3.6%	7.2%	-3.6%	3.6%	6.2%	-2.6%	-1.0%
	... KOL Acct Paid Ads (by Sellers)	/	8.3%	-8.30%	/	5.8%	-5.80%	-2.50%
	(+) Marketing Package	**0.1%**	**/**	**0.10%**	**0.0%**	**/**	**0.00%**	**0.10%**
	Total Takerate%	**19.4%**	**26.1%**	**-6.7%**	**20.4%**	**25.4%**	**-5.0%**	**-1.7%**
	(+) Seller Pass through Marketing	**1.2%**	**4.4%**	**-3.2%**	**1.2%**	**3.0%**	**-1.8%**	**-1.4%**
	... CPAS + GAS	0.3%	/	0.30%	0.1%	/	0.10%	0.20%
	... AMS	0.9%	/	0.90%	1.1%	/	1.10%	-0.20%
	Total MP Seller Cost%	**20.6%**	**30.5%**	**-9.9%**	**21.5%**	**28.4%**	**-6.9%**	**-3.0%**
Logistics	**Total SLS Logs Cost%**	**10.6%**	**10.6%**	**0.0%**	**6.3%**	**6.3%**	**0.0%**	**0.0%**
Total Charge	**Cost of Doing Business**	**31.2%**	**41.1%**	**-9.9%**	**27.8%**	**34.7%**	**-6.9%**	1 **-3.0%**

Highlights

1. Gap of cost of doing business closed 3pp from Oct 25 to Jan 2026 driven by
2. Reduction in Ads and Pass through Marketing take rate on TTS while Shopee held stable
3. Sellers are not shifting spend to TTS as a result of TTS SOB growth

Active SKU Count: Risk of sellers dropping off as active SKU count on TTS growing faster than Shopee, for both TTS unique and non-unique sellers over Q4

SHP/TT CB Active SKU Count by Segment

	CB Seller Breakdown	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Jan vs Oct[1]
Shopee	**On Shopee Only**	**1,905,463**	**1,653,586**	**1,655,565**	**1,737,111**	**1,288,453**	-8.8%
	...SLS	1,571,791	1,224,068	1,206,175	1,267,436	931,226	-19.4%
	...LFF	333,672	429,518	449,390	469,675	357,227	40.8%
	On both Shopee/TTS	**203,849**	**197,731**	**201,719**	**213,745**	**163,734**	4.9%
	...SLS	128,017	99,974	94,623	99,490	79,232	-22.3%
	...LFF	75,832	97,757	107,096	114,255	84,502	50.7%
TTS	**On TTS Only**	**725,505**	**775,270**	**880,953**	**959,398**	**797,602**	1 32.2%
	...SLS	577,030	615,925	688,483	739,893	595,931	28.2%
	...LFF	148,475	159,345	192,470	219,505	201,671	47.8%
	On both Shopee/TTS	**128,511**	**146,297**	**153,018**	**157,272**	**145,309**	1 22.4%
	...SLS	80,488	79,190	70,926	70,649	65,084	-12.2%
	...LFF	48,023	67,107	82,092	86,623	80,225	80.4%

1: Compare Jan instead of Feb, as Shopee seasonally delist non-performing SKUs in Q1 of each year, leading to lower SKU count after Jan; March data not yet available

Highlights

1. TTS active SKU count grew ~20-30% over Q4 while Shopee CB SKU count stayed stagnant
2. Long tail sellers and large UST 铺货 sellers dropped off more than other seller segments

[Backup] AMS: Seller total AMS spend grew 0.41pp from Oct 25

VN CNCB Seller (excl 1p) AMS spend % of GMV

	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26	Mar vs Oct
Total	**1.05%**	**1.07%**	**1.24%**	**1.37%**	**1.44%**	**1.46%**	0.41pp
External	**0.40%**	**0.42%**	**0.52%**	**0.58%**	**0.59%**	**0.70%**	0.30pp
...KOL	0.30%	0.33%	0.43%	0.49%	0.45%	0.51%	0.21pp
...ST	0.10%	0.09%	0.09%	0.09%	0.09%	0.10%	0.00pp
...OM	0.00%	0.00%	0.00%	0.00%	0.05%	0.09%	0.09pp
Internal	**0.66%**	**0.65%**	**0.72%**	**0.79%**	**0.85%**	**0.76%**	0.11pp
...LS	0.35%	0.29%	0.32%	0.34%	0.35%	0.29%	-0.06pp
...Video	0.31%	0.36%	0.40%	0.45%	0.49%	0.48%	0.17pp

1: Source: Reg BGM team

Highlights

1. AMS spend growing healthily from Oct 25, highest growth amongst all CB markets

Key Topics

1. Root Cause
2. Impact to Ecosystem
3. **SOB Improvement Plan & Recommendation**

VNCB can grow SOB to 0.7x (vs 0.56x status quo) by end of Q2 with $6.5m/month at 50% CPIGMV

Pending VN FPnA validation

Budget options to grow VNCB SOB

As end of Mar 31st		*Actuals*	*Actuals*		Option 1: Status quo		Option 2: Aggressive CPIGMV = 50%				Option 3: Very Aggressive CPIGMV = 50%			
CNCB		Q4'25	Q1'26	QoQ Growth	Q2'26	Budgeted (Monthly)	Q2'26	New Budget (Monthly)	Q2'26 vs Status Quo	New Budget vs Status Quo	Q2'26	New Budget (Monthly)	Q2'26 vs Status Quo	New Budget vs Status Quo
ADG	**SHP CNCB (3PF + SL**	**1,923,135**	**2,093,539**	**8.9%**	**1,727,531**	**11,986,107**	**2,167,330**	**18,583,086**	**439,799**	**6,596,979**	**3,096,185**	**32,515,919**	**1,368,654**	**20,529,812**
	SHP LFF (3PF)	468,321	655,408	39.9%	932,699	7,319,481	1,263,264	12,277,956	330,565	4,958,476	1,804,663	20,398,940	871,964	13,079,459
	SHP SLS	1,454,814	1,438,131	-1.1%	794,832	4,666,626	904,066	6,305,129	109,234	1,638,503	1,291,522	12,116,979	496,690	7,450,353
	TTS CB Total	**2,903,476**	**3,758,616**	29.5%	**3,096,185**		**3,096,185**		0		**3,096,185**		0	
SOB	**CNCB Total SOB**	**0.66**	**0.56**	**▼ 0.11 x**	**0.56**		**0.70**		0.14		**1.0**		0.44	

Highlights

1. SOB is projected to remain stable for Q2 under status quo conditions as TTS normalize from Tet spike and VNCB continues to push LFF to catchup to TTS by June
2. While impact to seller take rate and investment is not big, there exist risk of continued seller drop off as large UST sellers and long tail sellers upload SKUs to TTS instead
3. With additional budget, VNCB commit to grow SOB to 0.7x by June 2026 at 50% CPIGMV

Next Steps

1. VNCB to confirm detailed budget expenditure plan with Option 2 - ETA 7th April
2. VNCB FPnA to confirm budget plan - ETA 8th April
3. VN management decision - ETA 10th April